



Final Deliverable:

A recommendation promoting affordable housing solutions through an accessible **calculator** and **strategic partnerships**

Prepared For:

FinMango Management

Prepared By:

SEED Consulting at UVA

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and Rhea Choudhary

Improving Financial Health



December 2024



Meet the Team



Alison Cohen

Project Leader

2nd Year:
Pre-Comm



Aiden Yaphe

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2nd Year:
Economics



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Statistics



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Global Sustainability +
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Contents

1

Context

2

Market Research

3

Recommendation

4

Next Steps

Context & Market Research

Provide context to the problem



Tackle the Affordable Housing Crisis by Addressing Rising Costs and Financial Insecurity

The Affordable Housing Crisis

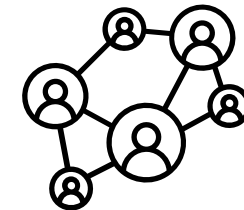
- **Rising Housing Costs:** In cities like New York, rents have increased by **2-3%** annually, pushing low- and moderate-income families out of the market
- **Limited Availability:** The U.S. faces a **50% shortage** of affordable units, worsened by Airbnb reducing long-term rental supply
- **Struggling with Financial Health:** Renters spend more than **30%** of their income on housing, leaving little for other needs

Impact on Communities

- **Financial Insecurity:** **20% of households** struggle with basic living costs due to financial insecurity and lack of resources
- **Underutilized Resources:** **80% of eligible individuals** fail to access available housing subsidies and grants due to complex application processes

Key Takeaway

FinMango aims to bridge the gap by providing **financial tools** and **housing resources**, empowering communities to navigate the challenges of affordable housing



LL18 Cut Short-Term Rentals by Over 80% but Rents Still Rose

Impact of LL18 on Airbnb Listings and Rent

Short-term Airbnb listings in NYC

Listings with a minimum stay of under 30 days

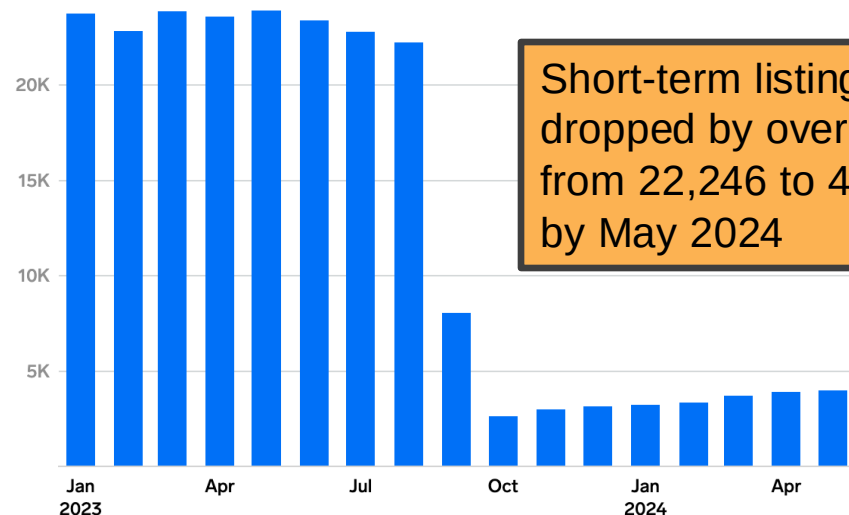
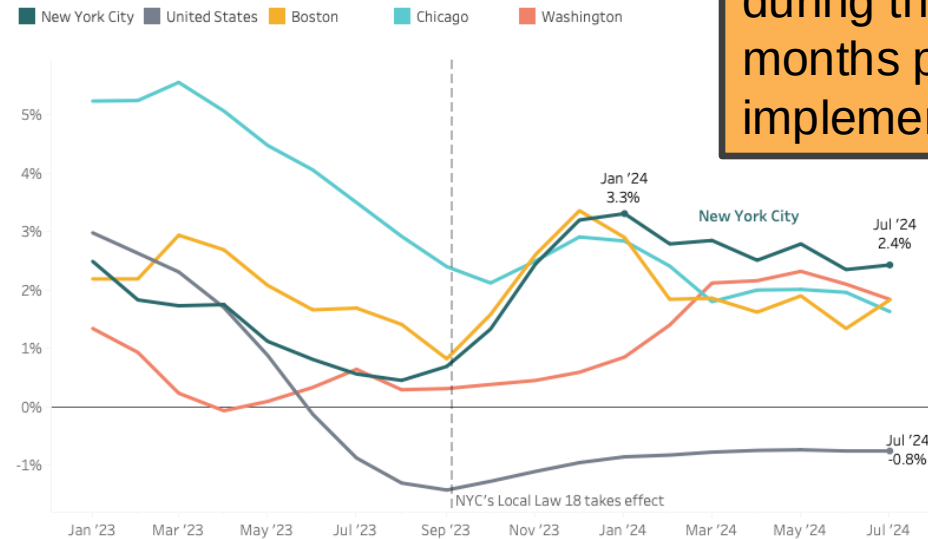


Chart: Andy Kiersz/Business Insider • Source: AirDNA

**BUSINESS
INSIDER**

Short-term listings dropped by over 80%, from 22,246 to 4,000 by May 2024

New York City rent growth continues to outpace peer cities Year-over-year change in Rent Index



Source: Apartment List
Data Available: www.apartmentlist.com/research/category/data-rent-estimates

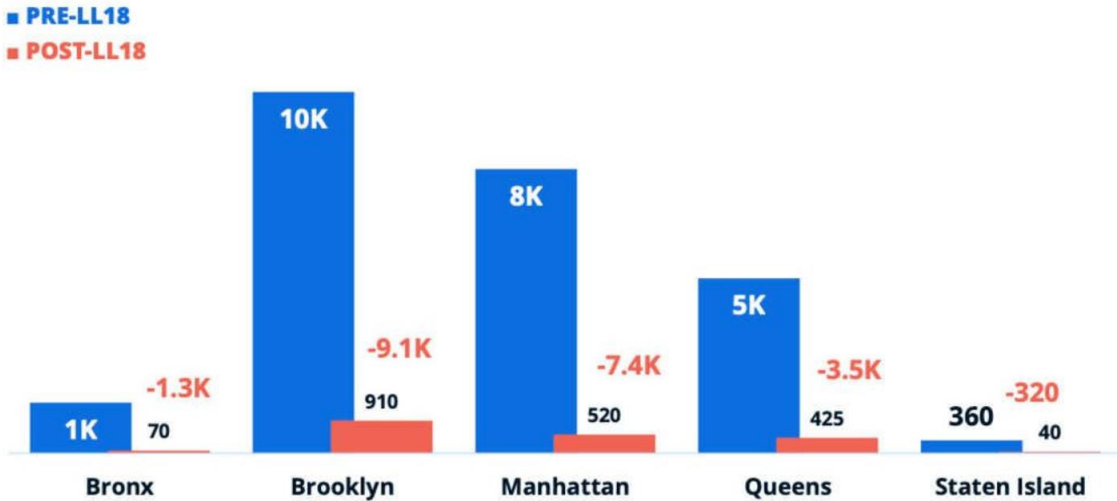
NYC rents rose 3.4% during the first 11 months post-LL18 implementation

NYC's rental vacancy rate at 1.4% (the lowest since 1968)
-> overlooking role of shortage in housing stock?

LL18 Targets Housing Shortages but Amplifies Geographic Inequities

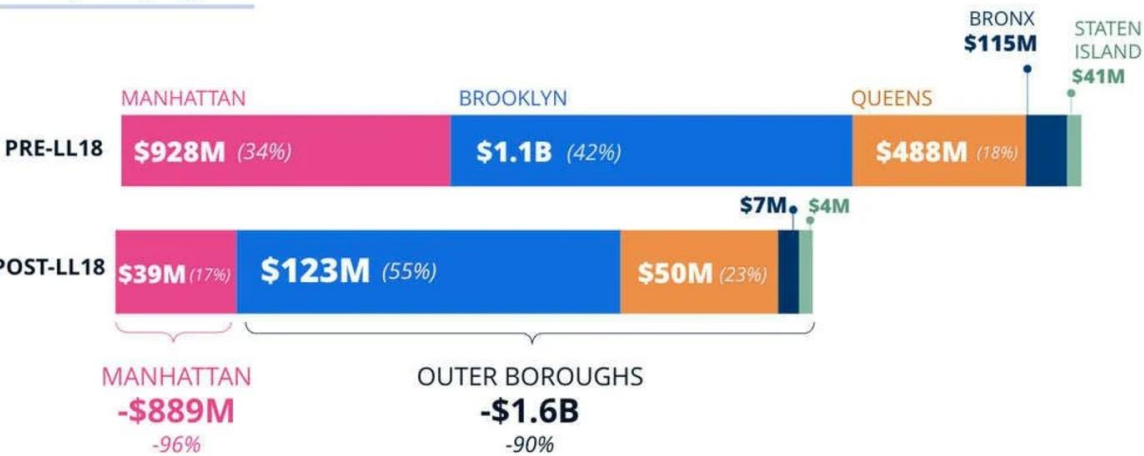


Short-term Airbnb Average Monthly Listings by Borough



— Source: Airbnb

Total Spending

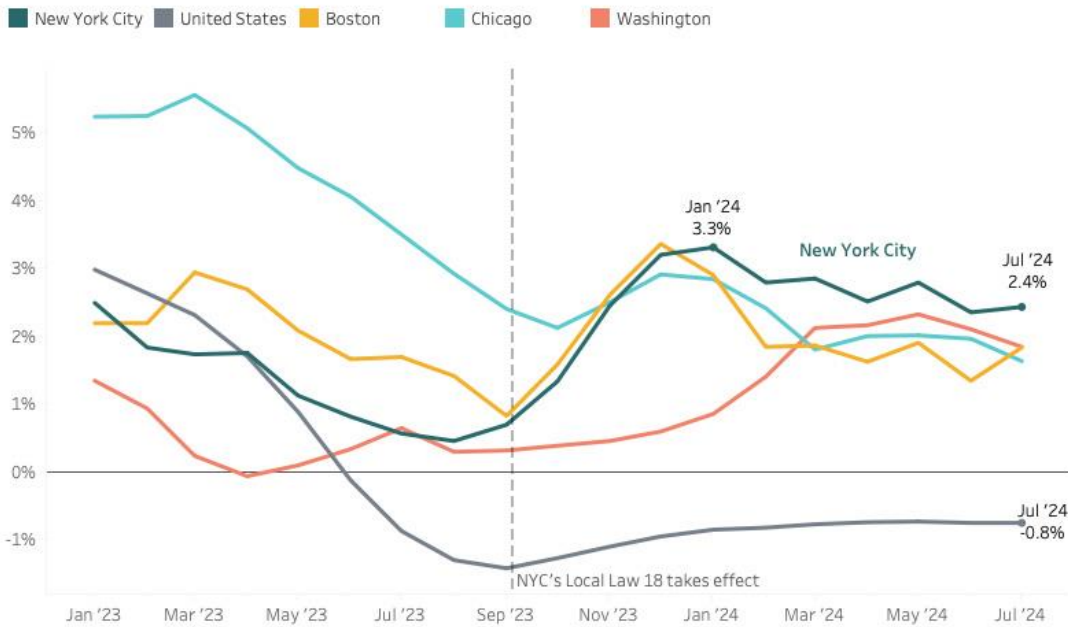


— Source: Airbnb

LL18 disproportionately affected outer boroughs that relied more heavily on short-term rental tourism.

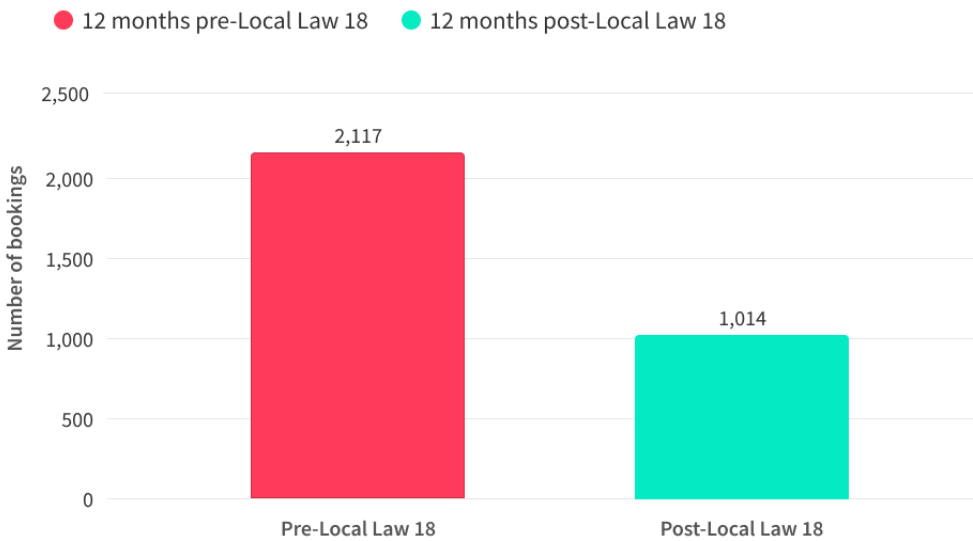
LL18 Reduced Airbnb Bookings But Failed to Significantly Lower Rent Prices in NYC

New York City rent growth continues to outpace peer cities
Year-over-year change in Rent Index



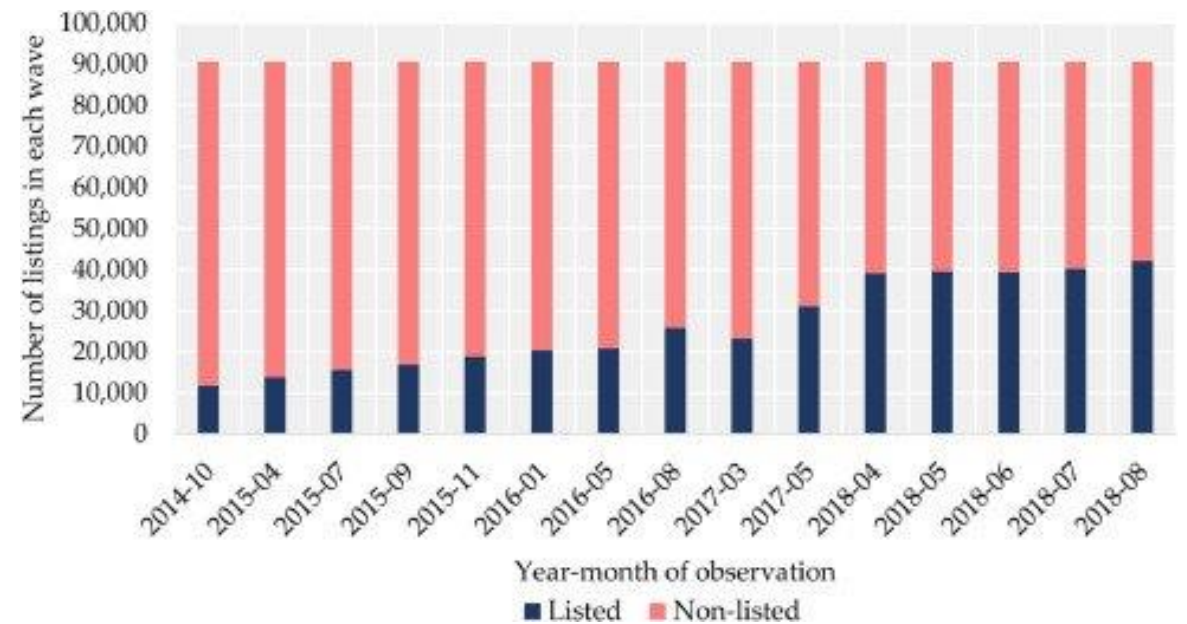
Source: Apartment List
Data Available: www.apartmentlist.com/research/category/data-rent-estimates

Airbnb bookings pre- and post-Local Law 18

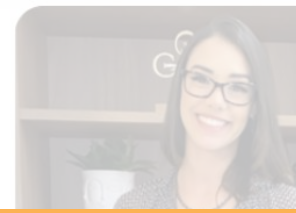
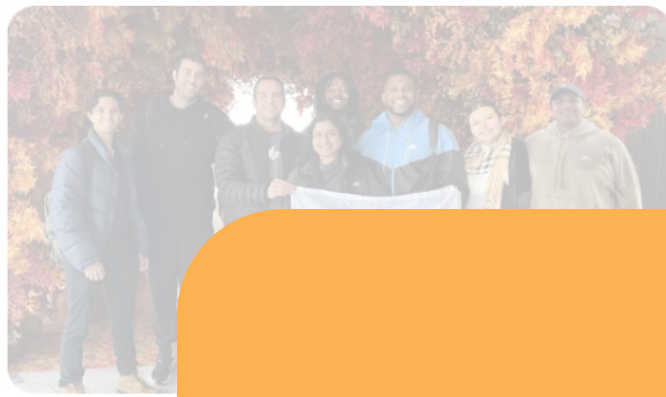


LL18 dramatically reduced Airbnb bookings/listings but failed to address inflated rent/housing crisis. Why?

Examine the Impact of Rental Vacancy on Airbnb Listings

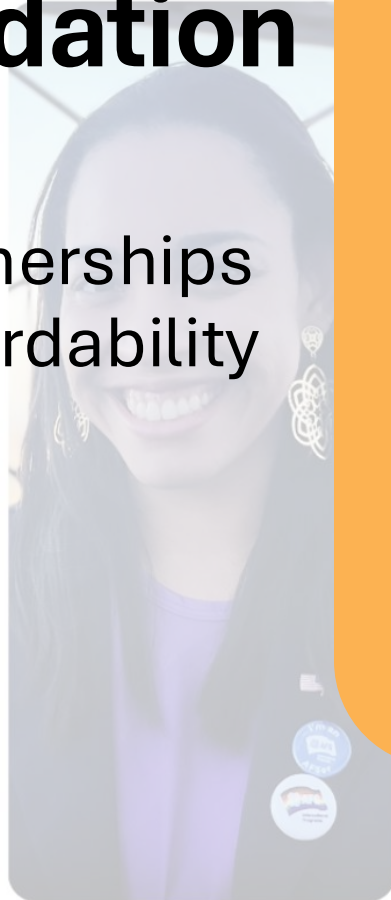


Vacant rates down to 1.4%; 1% increase in Airbnb listings → 0.018% rent increase



Recommendation

Establish key partnerships
and a housing affordability
calculator



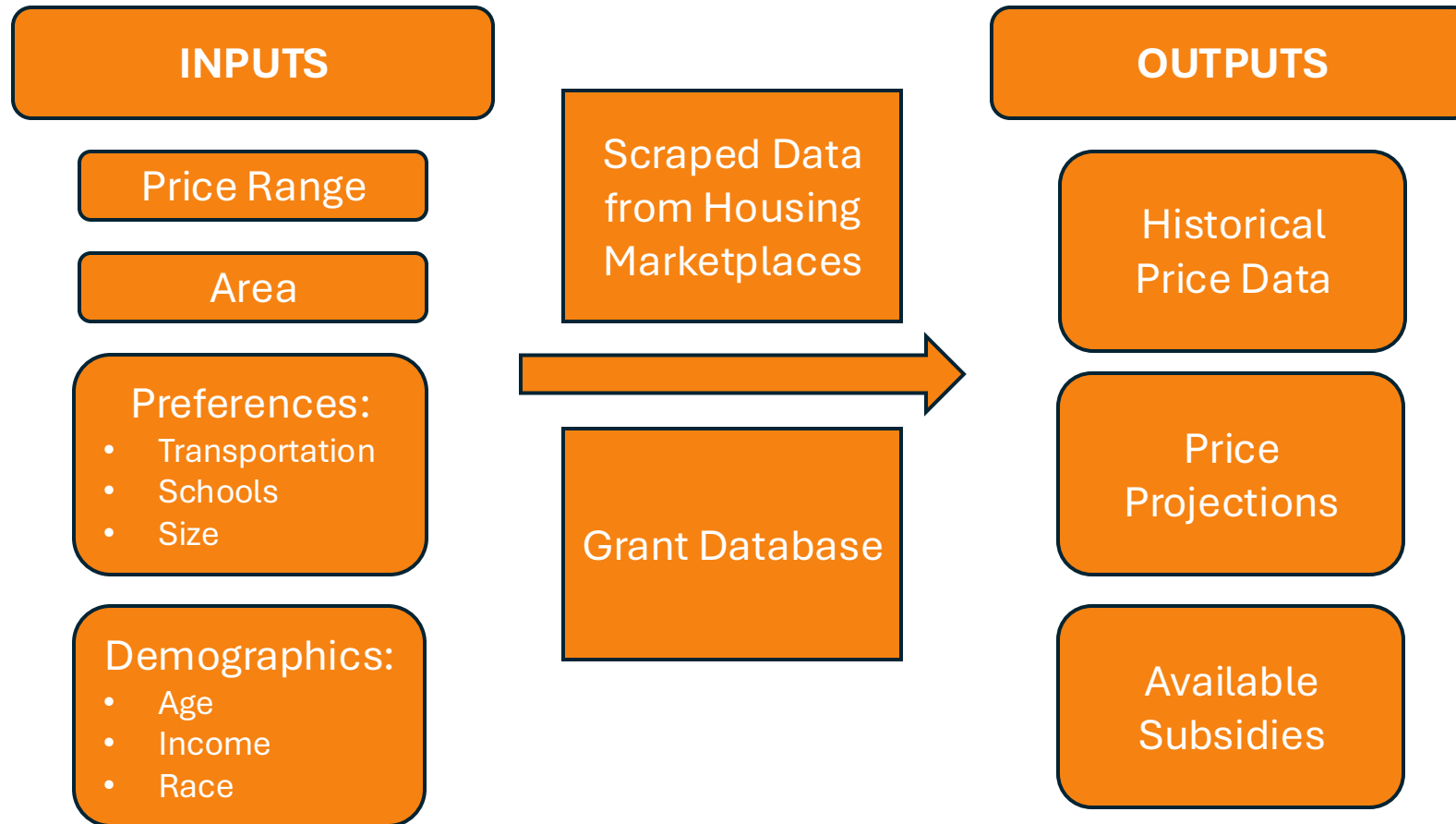
Leverage Research/Data to Build Partnerships with LISC and Coalition for the Homeless

	<u>Value</u>	<u>Actionable Recommendations</u>
	Shared Networks: LISC's network can help FinMango expand outreach to local communities in need of financial education and housing assistance. Funding Opportunities: LISC's partnerships open the door for joint funding applications, especially for housing-related initiatives.	Launch Financial Literacy Programs: Co-develop pilot financial literacy workshops focused on housing-related financial management. Digital Tool Development: Develop mobile applications and tools to help tenants budget and track housing expenses.
	Policy Collaboration: Work together to develop data-driven insights into the financial impact of housing policies on marginalized communities. Research Synergy: Combine FinMango's financial tools with CHPC's housing data to provide comprehensive solutions to housing affordability challenges.	Co-Host Housing Policy Workshops: Organize joint workshops to educate communities and policymakers on financial management and affordable housing policies. Develop Financial Literacy Programs: Work with CHPC to create tools for tenants and homeowners to manage housing costs.

Develop a Calculator to Help Users Assess Housing Affordability and Access Resources

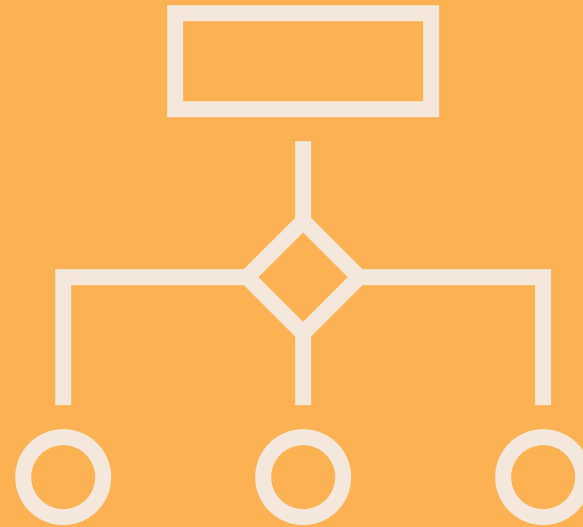
- Two Key Ideas: Market Data and Housing Grants
 - Market Data: scraping data from prominent online housing marketplaces (Zillow, Redfin, AirBnB) to show users housing trends in the area with regards to price
 - Housing Grants: building a database of grants available in the New York area that are available for calculator users, can match grants to the user based off demographics, area, etc.

Visualize the Calculator and Its Key Components



Next Steps

Assessing required internal resources and outlining initial implementation strategies.



Risks/mitigants

Risks

Mitigants

Assessment of identified risks

1

Data Accuracy and Market Volatility

Use multiple data sources, real-time updates, and transparent assumptions to maintain accuracy

2

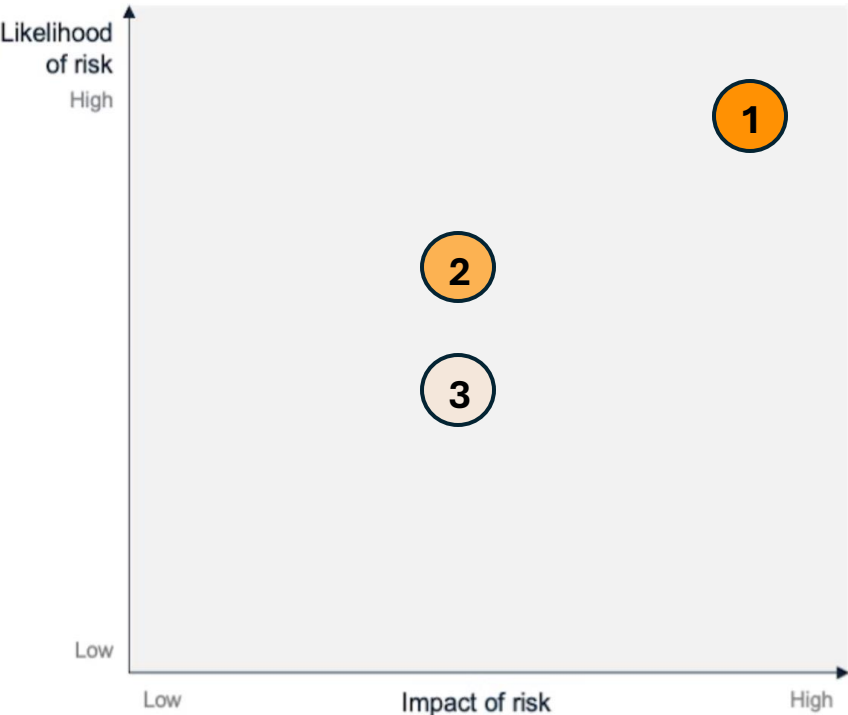
Scalability and Commitment

Create long-term agreements and a pipeline of backup partners to ensure continuity

3

Competing Values

Develop a shared mission statement and conduct regular alignment reviews

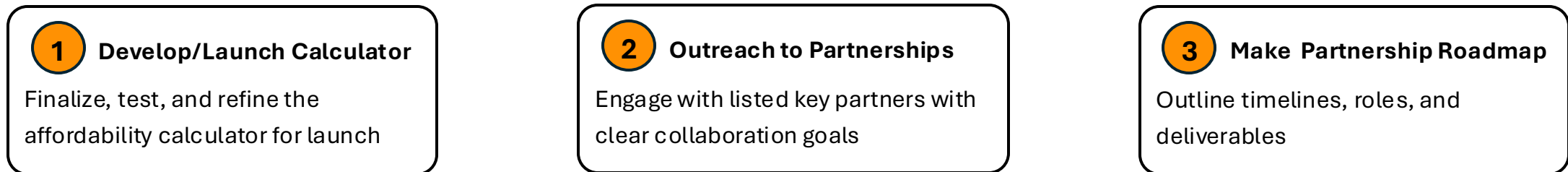


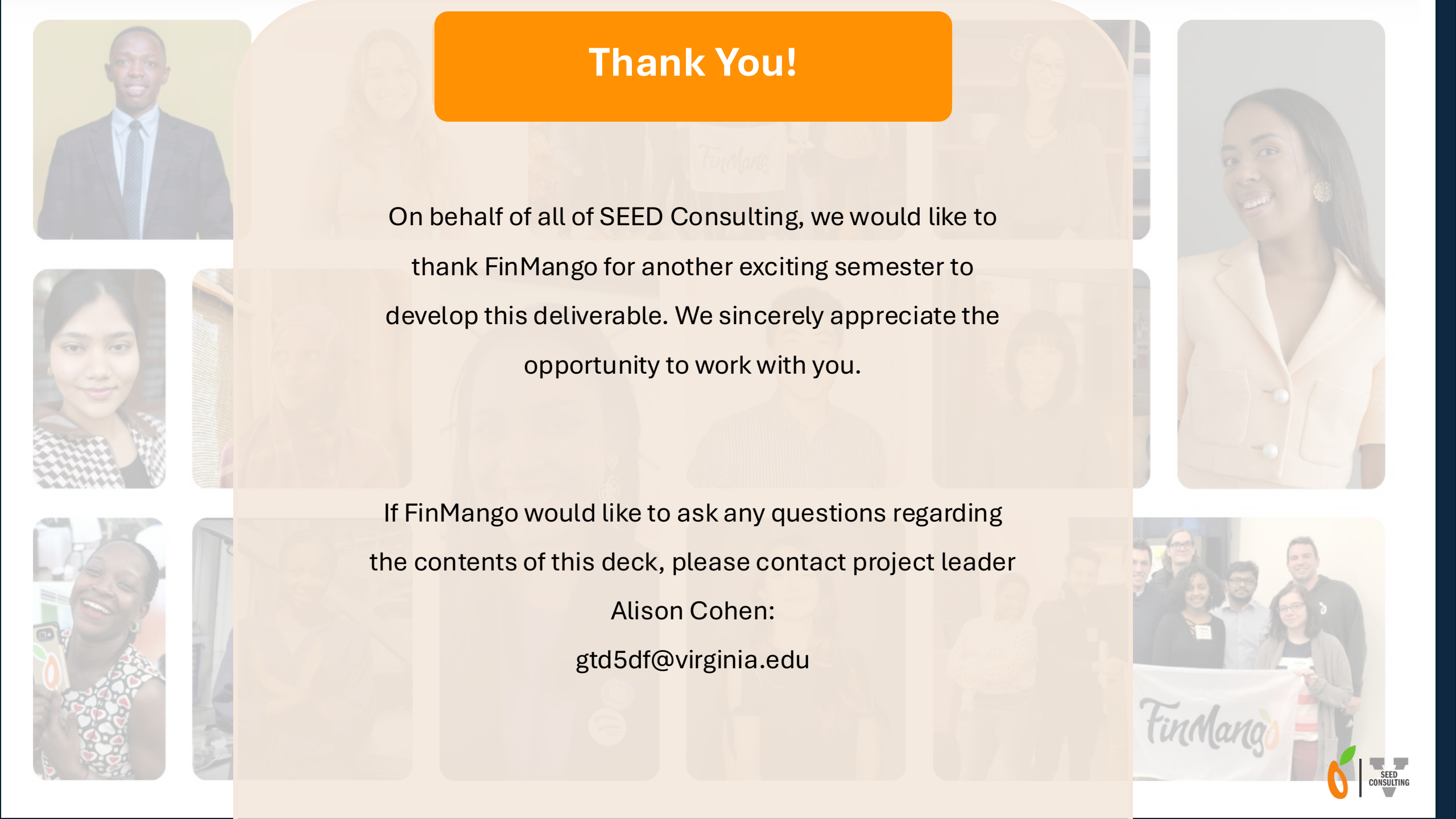
Launch the Housing Affordability Calculator and Strengthen Partnerships to Maximize Impact

Conclusion



Next Steps





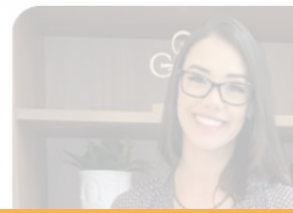
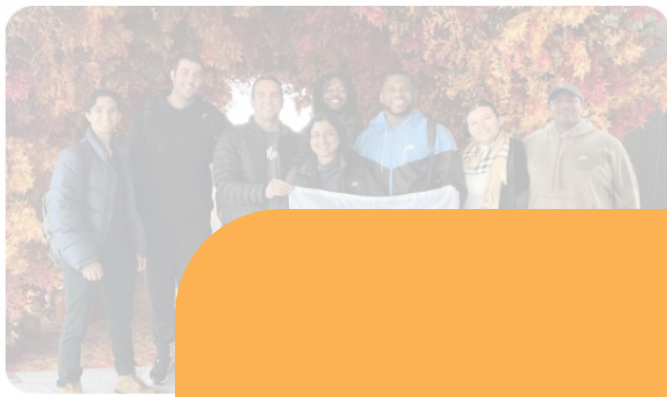
Thank You!

On behalf of all of SEED Consulting, we would like to thank FinMango for another exciting semester to develop this deliverable. We sincerely appreciate the opportunity to work with you.

If FinMango would like to ask any questions regarding the contents of this deck, please contact project leader

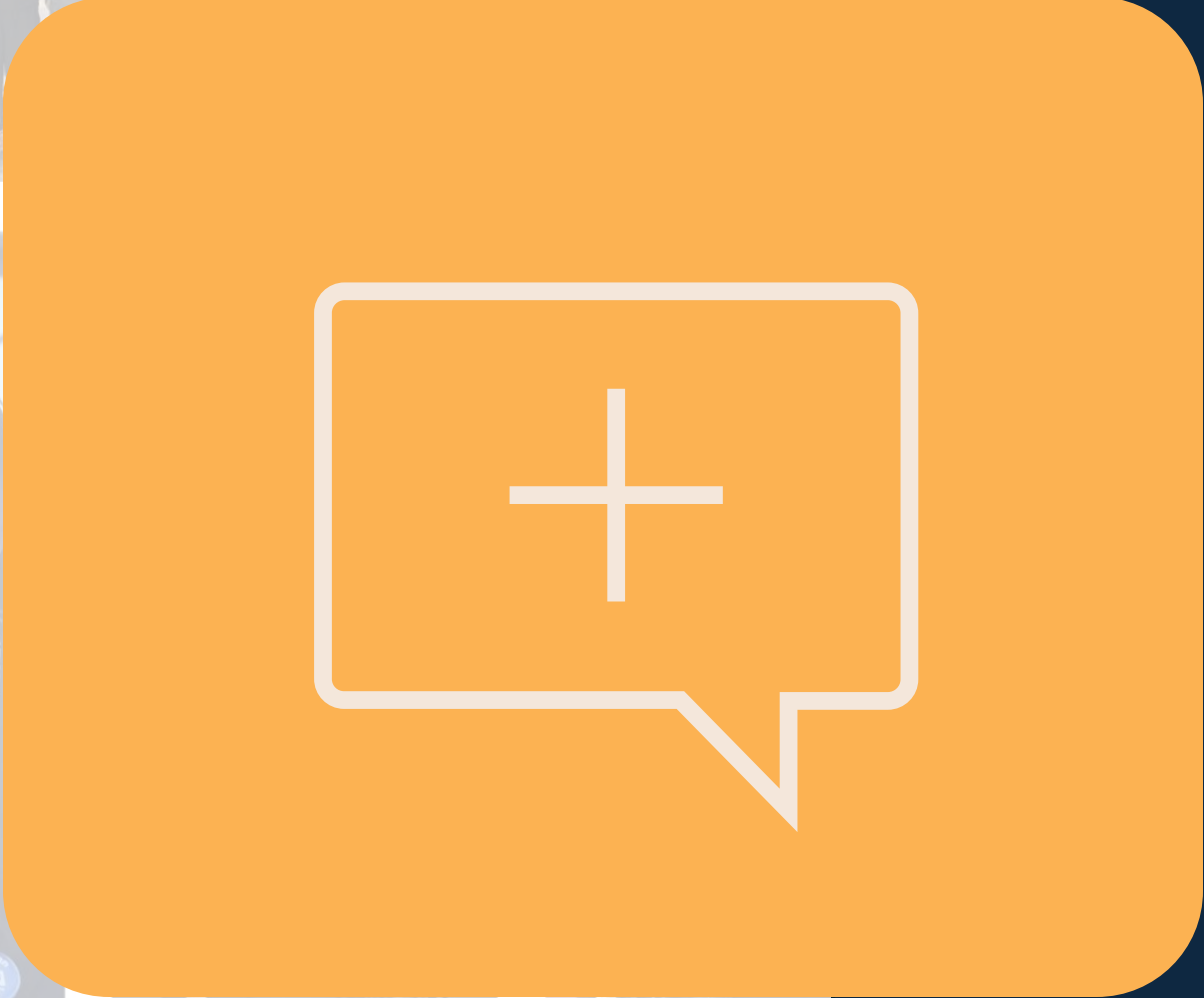
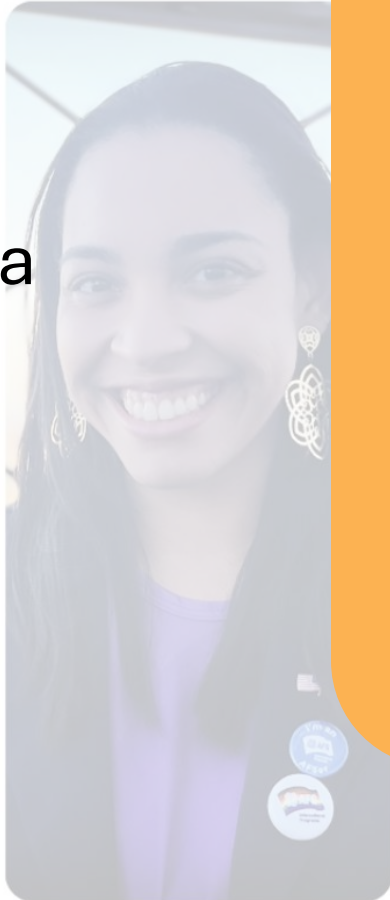
Alison Cohen:

gtd5df@virginia.edu

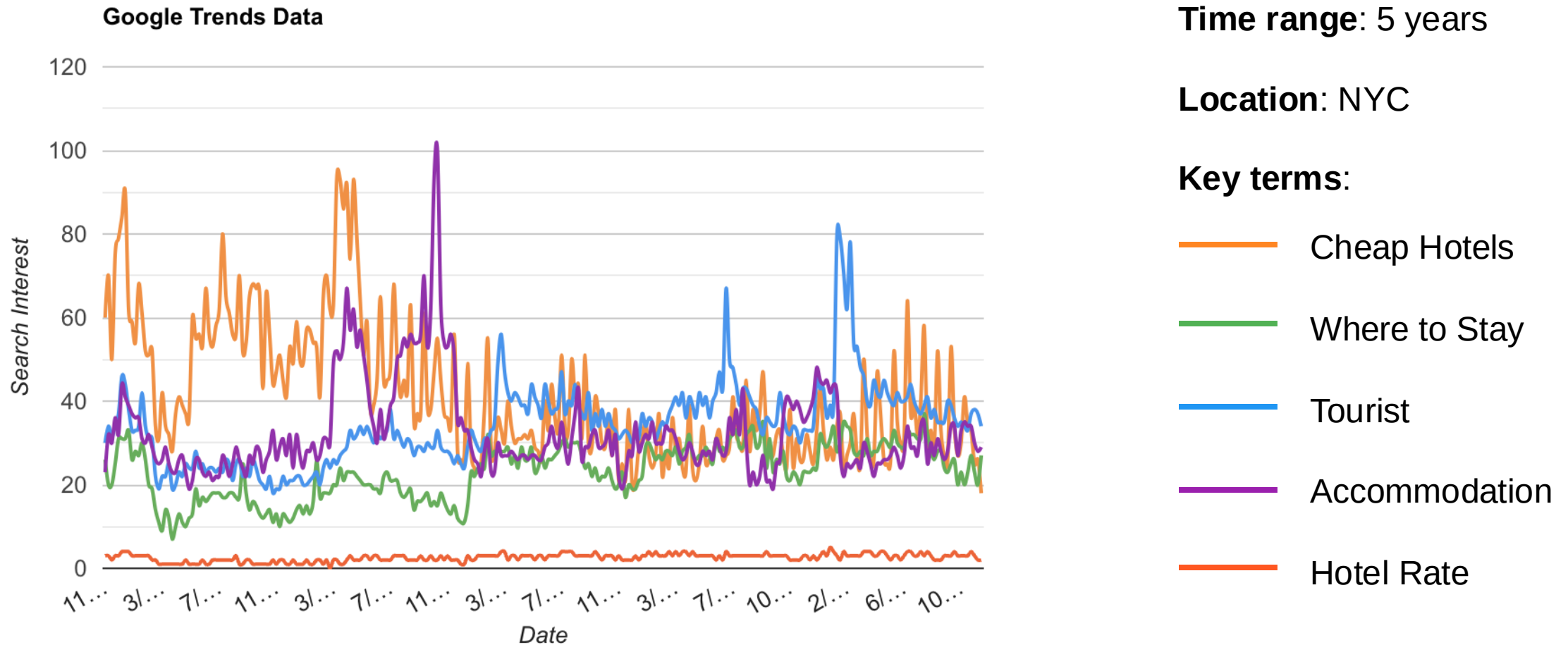


Appendix

Google Trends Data



Appendix 1 Google Trends Data: Hotels Popularity on Rent Prices



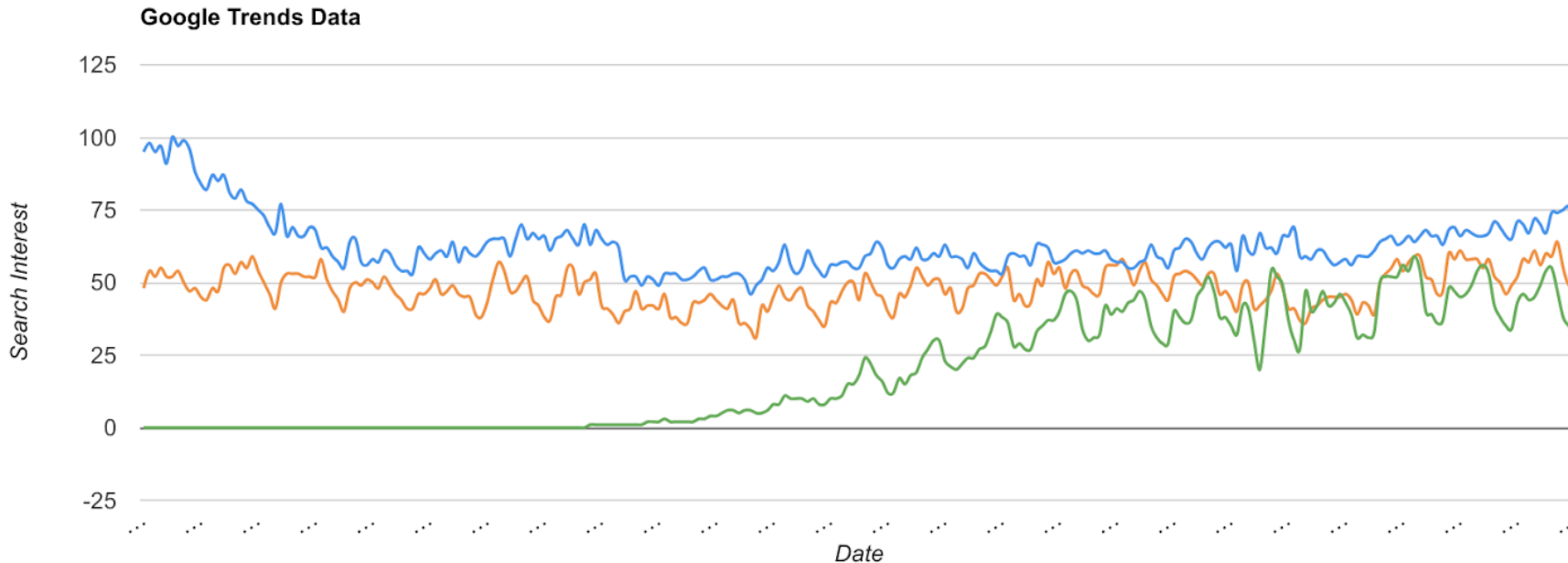
Appendix 2 Google Trends Data: Housing Accessibility

Time range: 5 years

Location: NYC

Key terms:

— Housing
— AirBNB
— Access



Appendix 3 Google Trends Data: AirBnb Alternatives (Illegal STRs)

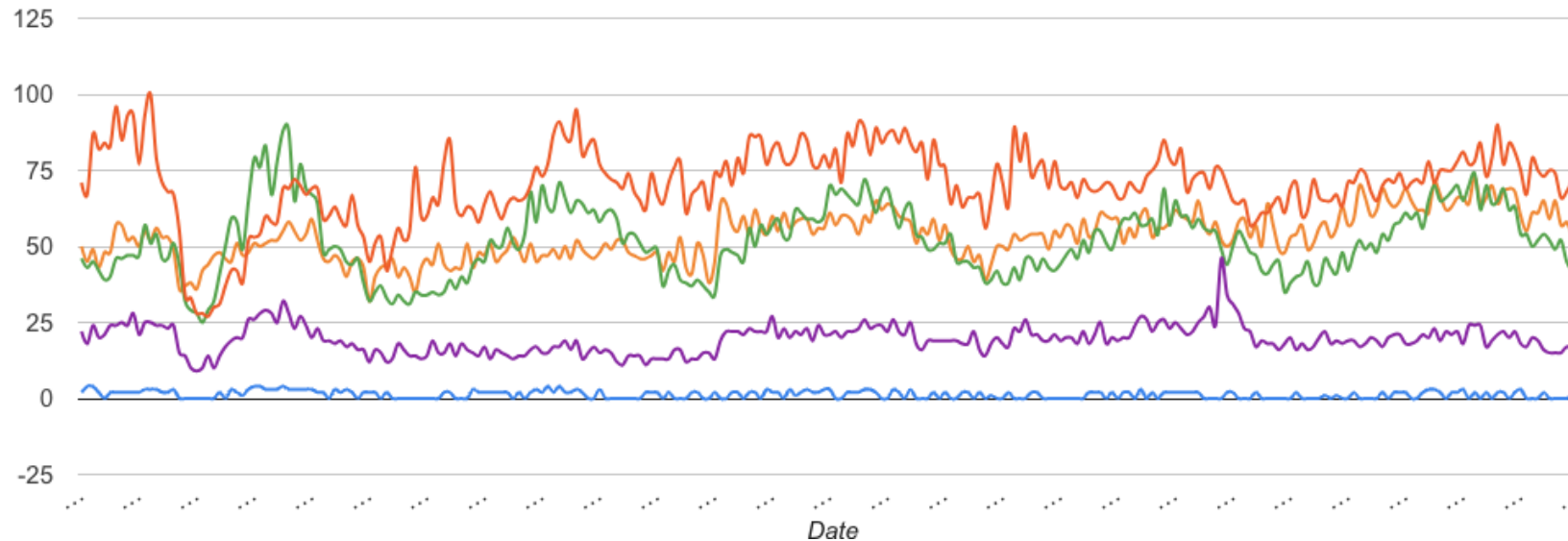
Time range: 5 years

Location: NYC

Key terms:

- NYC Apartment
- NYC Rental
- NYC Cheap Rental
- NYC Airbnb
- NYC Hotels

Google Trends Data



Appendix 4 Google Trends Data: AirBnb Alternatives (Illegal STRs)

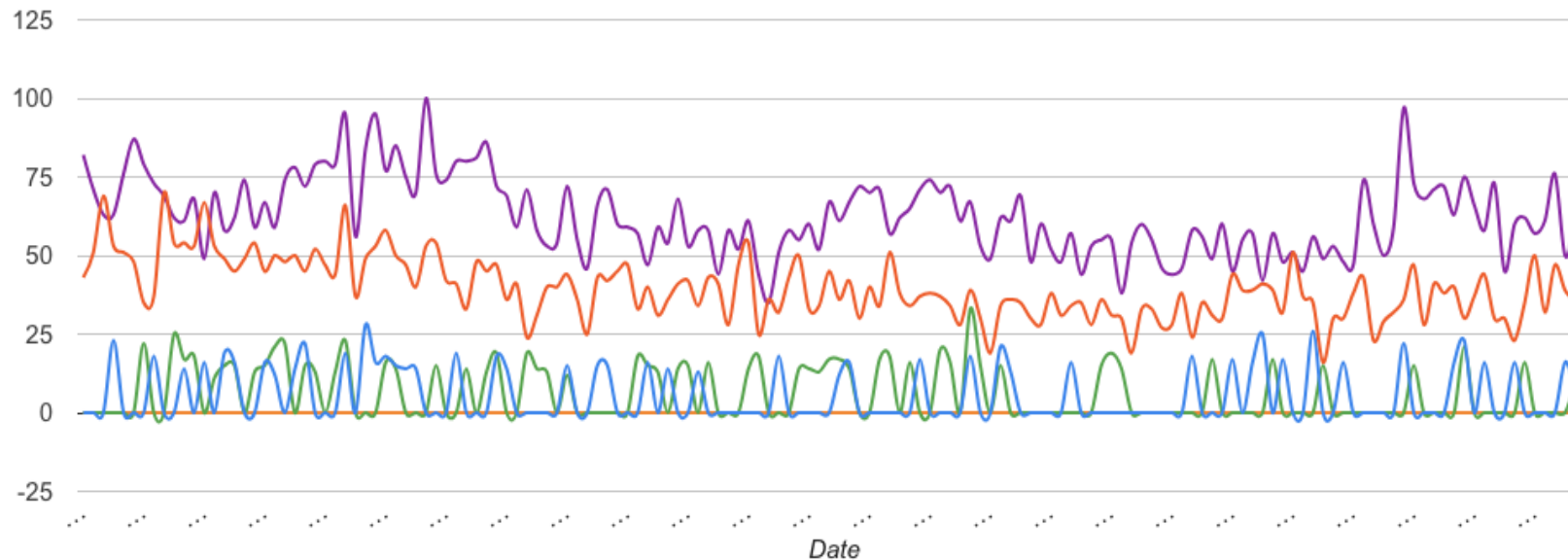
Time range: 5 years

Location: NYC

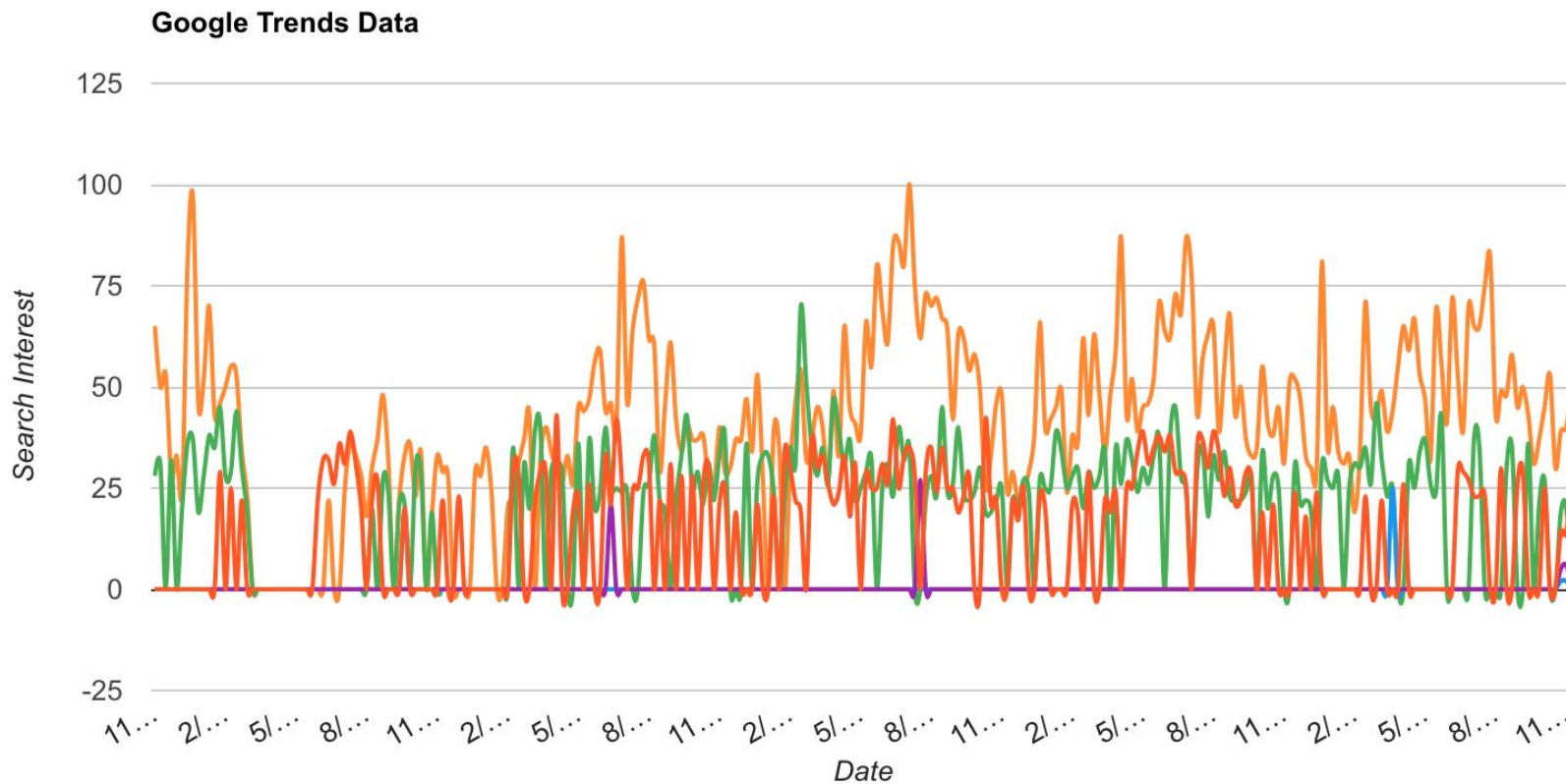
Key terms:

-  New York City Vrbo
-  New York City Airbnb
-  New York City rentals
-  New York City Hotels

Google Trends Data



Appendix 5 Google Trends Data: Spending/tourist traffic in Queens



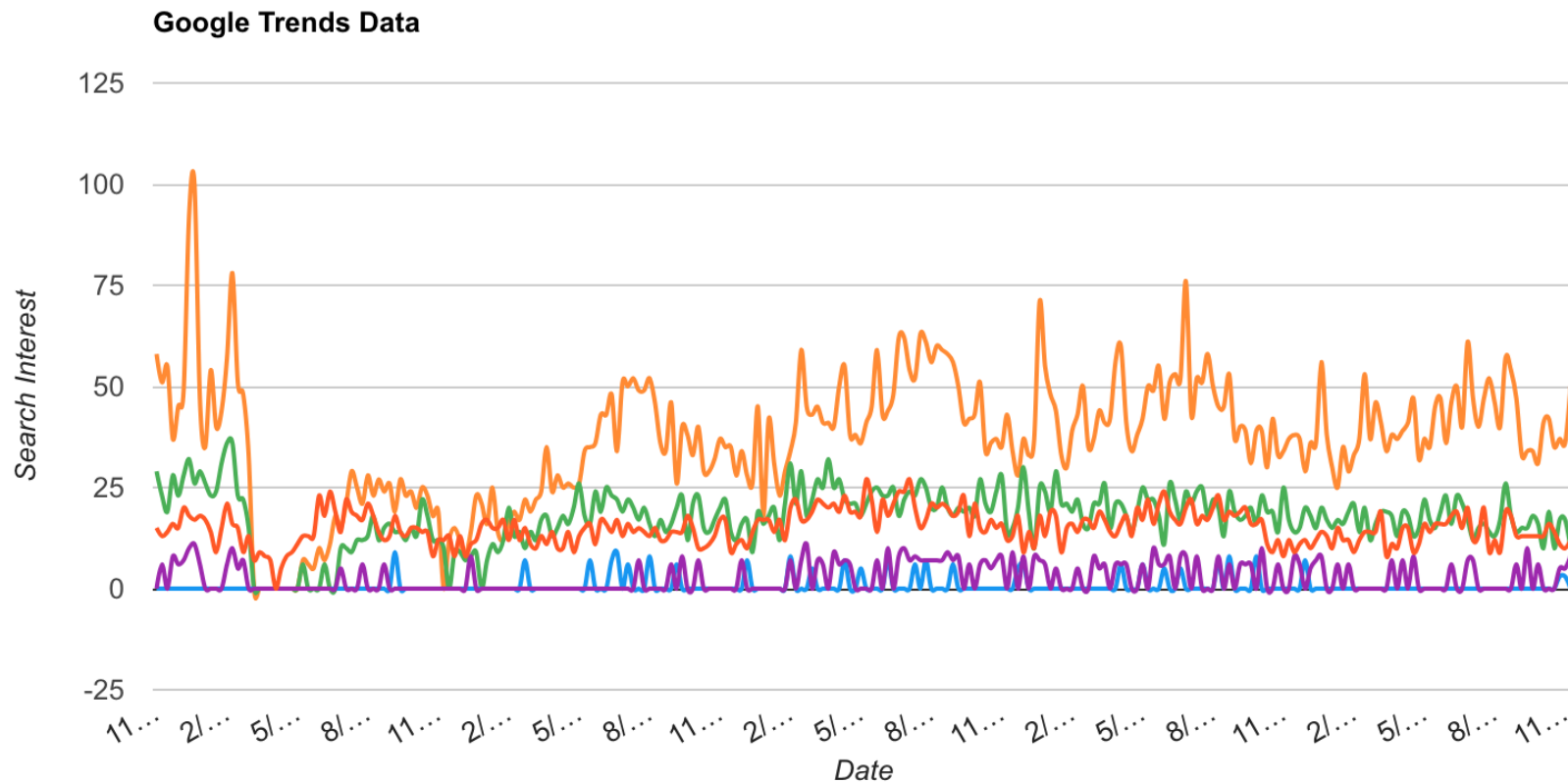
Time range: 5 years

Location: NYC

Key terms:

- Things to do in Queens
- Best restaurants in Queens
- Queens Attractions
- Shopping in Queens
- Queens Airbnb

Appendix 6 Google Trends Data: Spending/tourist traffic in Brooklyn



Time range: 5 years

Location: NYC

Key terms:

- Things to do in Brooklyn
- Best restaurants in Brooklyn
- Brooklyn Attractions
- Shopping in Brooklyn
- Brooklyn Airbnb